

Cipla Ltd

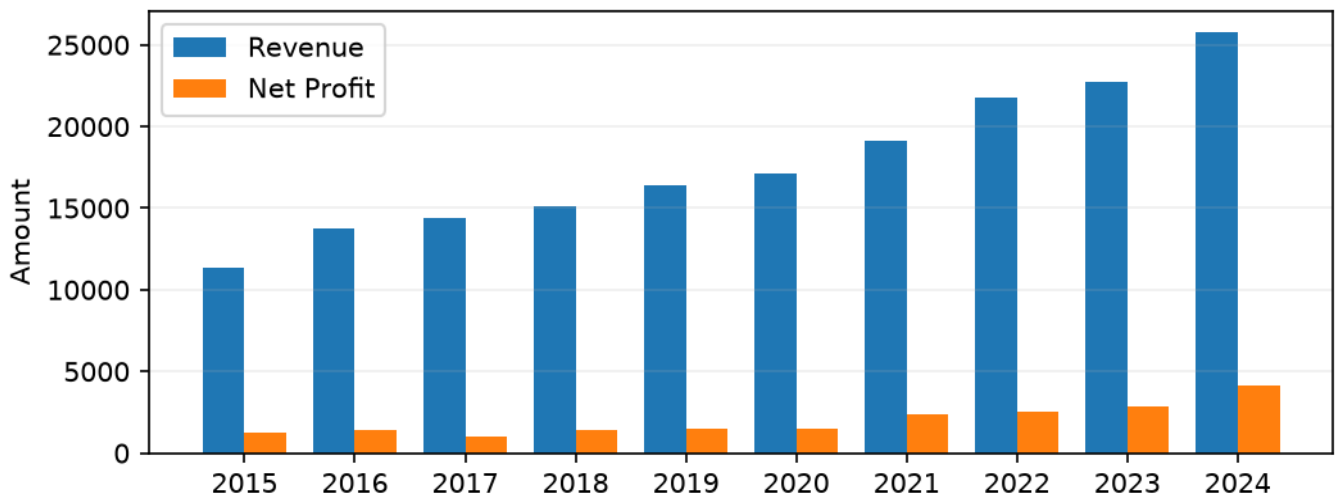
CIPLA

Sector: Healthcare

ROE 15.55%	ROCE 22.80%	Net Profit Margin 16.12%
D/E 0.02	Revenue CAGR 5Y 9.51%	FCF 1,152.00 Cr

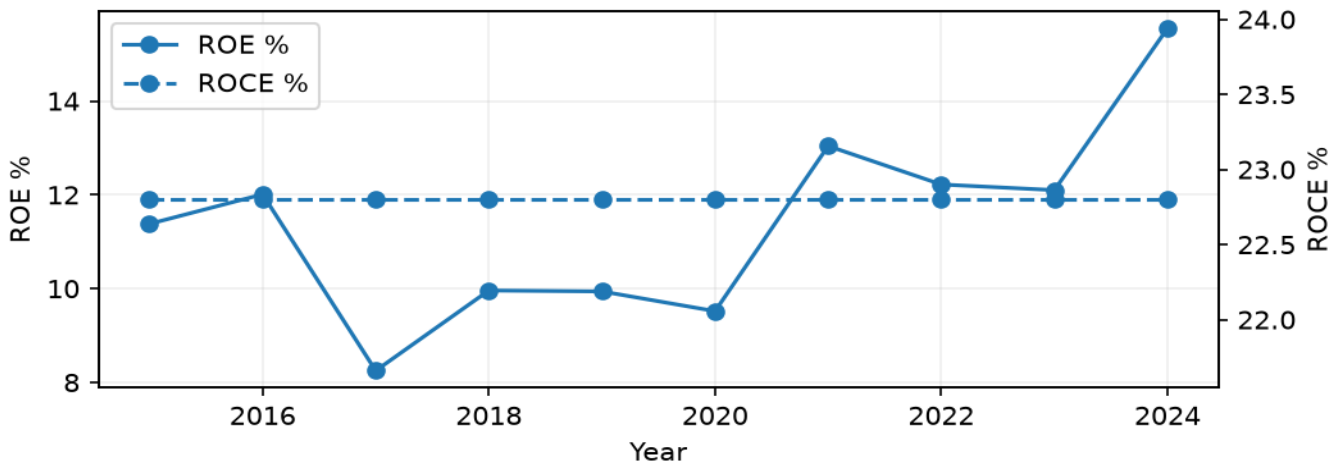
Revenue & Profit Trend

Revenue and Net Profit — 10 Years

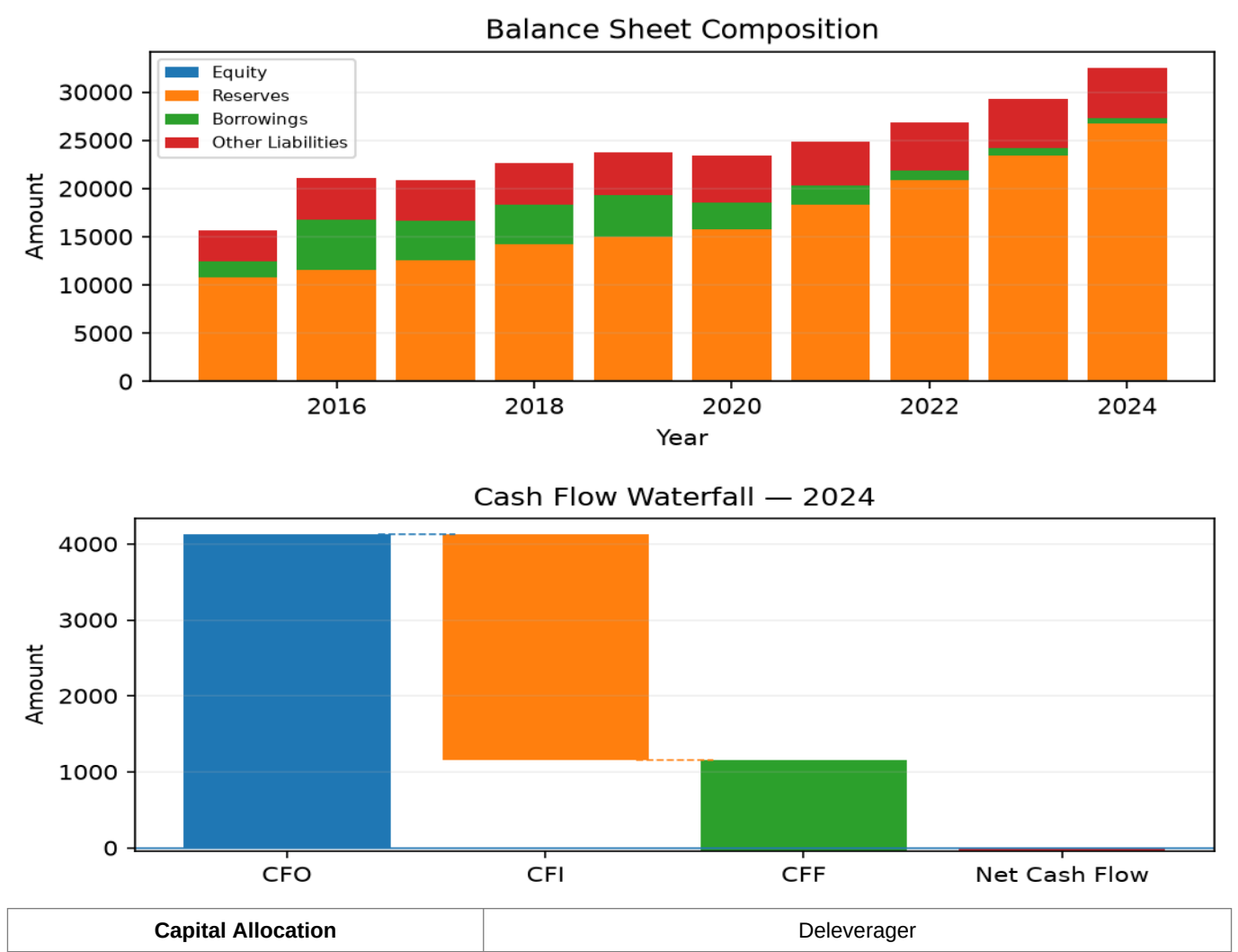


Return Trend

ROE and ROCE Trend



Financial Structure & Cash Flow



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline (confidence 95%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (confidence 95%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (confidence 95%)
- Strong free cash flow generation over 5 years signals healthy business fundamentals (confidence 90%)
- Net profit compounding at above 20% over 5 years creates significant shareholder value (confidence 88%)
- Growing asset base funded by internal accruals reflects self-sustaining growth (confidence 80%)

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (confidence 85%)